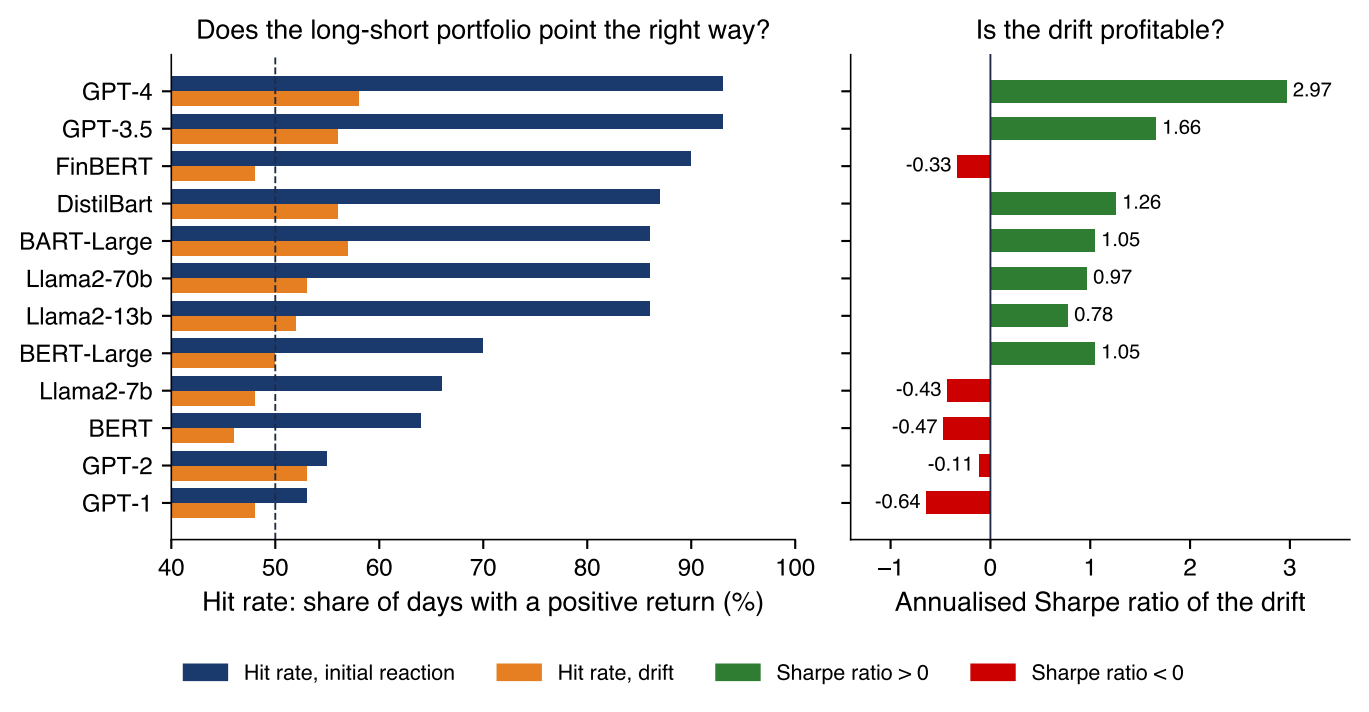
Does the long-short portfolio point the right way?
GPT-4
GPT-3.5
FinBERT
DistilBart
BART-Large
Llama2-70b
Llama2-13b
BERT-Large
Llama2-7b
BERT
GPT-2
GPT-1
40
50
60
70
80
90
100
Hit rate: share of days with a positive return (%)
Is the drift profitable?
2.97
1.66
-0.33
1.26
1.05
0.97
0.78
1.05
-0.43
-0.47
-0.11
-0.64
−1
0
1
2
3
Annualised Sharpe ratio of the drift
Hit rate, initial reaction
Hit rate, drift
Sharpe ratio > 0
Sharpe ratio < 0